

# Boosting Start-ups, Shaping India

Start-ups are turbo-charging India's growth story. But a lot needs to be done to empower them further

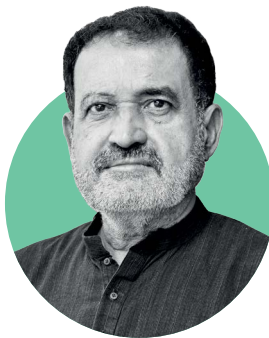
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**THE GOVERNMENT HAS** envisioned a remarkable goal for India@100: Viksit Bharat—a developed India. The nation undoubtedly has the potential to achieve this, with favourable tailwinds in demographics, domestic consumption potential, open economy frameworks, and technological adoption capacity. To realise this vision, India must invest in several force multipliers, one of which is its start-up ecosystem.

India's technology-driven start-up ecosystem is a testament to the determination of Indian entrepreneurs. The country hosts the third-largest start-up ecosystem globally, with over 138,000 ventures that have created \$550 billion in value, including 115 unicorns and nearly 500 soonicorns. By 2027, the ecosystem is projected to create \$1 trillion in value, host 200-plus unicorns, and employ more than 3.5 million specialised workers.

As the ecosystem continues to expand, start-ups are emerging as one of India's strongest growth engines and force multipliers. While



BY T.V.  
MOHANDAS PAI

sectors such as e-commerce, fintech, and enterprise technology host the largest number of start-ups, Indian start-ups are not limited to these but also now operate across various industries: education, health, IoT, artificial intelligence (AI), biotechnology, logistics, defence, and space. Increasingly, companies are viewing public markets as a viable growth avenue, becoming hubs for growth where the average Indian can invest.

With a critical mass of diverse start-ups focussed on rapid growth, the positive effects are substantial—economic expansion, increased employment and specialisation opportunities, enhanced capital and liquidity, and greater competition that spurs a new wave of entrepreneurs. India is indeed rising, and the time has come to fully harness this impact.

So far, the ecosystem has achieved remarkable growth with minimal support from the political machinery. However, this is unsustainable for two reasons. First, to realise the Viksit Bharat 2047 vision, it is essential to accelerate the growth of high-quality indigenous companies that prioritise the Indian citizen in their growth strategies. Second, 85% of the inbound capital into this ecosystem is foreign; India has yet to fully create opportunities for its own citizens to invest in the country's growth story, while overseas investors reap the benefits. To maintain